

CAMS Tutorial: High Net Worth Individuals

Hard Topics – Private Banking, Trusts, PEPs, Offshore Risks

How Hard HNW Questions Are Framed

In the CAMS exam, HNW private banking questions test your ability to identify:

- **Inherent conflicts of interest** (RMs paid on AUM)
- **Opaque structures** (trusts, shell companies, SPVs, PICs)
- **PEP risks** (foreign, domestic, international org, family, close associates)
- **Source of Wealth vs Source of Funds** (both must be verified)
- **Offshore financial center red flags** (round tripping, rapid transfers, no economic purpose)
- **High-value asset laundering** (art, yachts, crypto, insurance policies)
- **Correspondent banking risks** (nested accounts, refusal to identify UBOs)
- **Culture of compliance failures** (senior management overrides)

Key Ideas & Explanations (No Questions)

1. Conflict of Interest in Private Banking

[KEY] **Inherent risk:** Relationship managers compensated on Assets Under Management (AUM) or revenue may ignore AML red flags to keep high-fee clients.

[FOCUS] **Performance compensation structures create ML risk.**

[TRAP] “The problem is lack of technology or process” – No, it’s human conflict of interest.

[!] RM pushing to onboard PEP quickly without EDD = red flag.

2. Complex Ownership Structures (Trusts + Offshore Companies)

[KEY] **UBO obscurity:** Multiple layers (trust → BVI → Cyprus → Switzerland) hide ultimate beneficial owner.

[FOCUS] **Each offshore layer reduces transparency.**

[TRAP] “Trusts are legitimate wealth management tools” – They are, but can also be abused.

[!] Client refuses to disclose beneficiaries or source of funds + multiple secrecy jurisdictions = maximum risk.

3. Source of Wealth vs Source of Funds

[KEY] **SoW:** How client accumulated total wealth over time (e.g., inheritance, business).

[KEY] **SoF:** Specific origin of money for this transaction (e.g., crypto sale).

[FOCUS] **BOTH must be independently verified.**

[TRAP] “Verifying SoW is sufficient for HNW clients” – Wrong. SoF also required.

[!] Unverifiable crypto sale through privacy coin (Monero) + unregulated exchange = EDD and potential SAR.

4. Trust Structure Red Flags

[KEY] **Trustee self-dealing:** Son as trustee making loans to himself, buying yacht in trust name.

[KEY] **PEP settlor:** Once a PEP, always a PEP – even after death for risk assessment.

[FOCUS] **EDD required for foreign PEP settlors regardless of death.**

[TRAP] “Settlor is deceased, PEP status no longer matters” – Incorrect.

[!] Unexplained wires to high-risk jurisdiction + crypto via unregulated VASP + refusal to explain = SAR.

5. Offshore Financial Center Red Flags

[KEY] **Round tripping:** Funds move Cayman → BVI → Bermuda → back to Cayman with no economic purpose.

[KEY] **Rapid transfers between offshore accounts.**

[KEY] **Shell company added as signatory.**

[FOCUS] **Each red flag requires EDD.**

[TRAP] “Tax planning using OFCs is legitimate; no red flags” – Wrong. Pattern matters.

[!] Round tripping + rapid transfers without economic purpose = suspicious.

6. Private Investment Companies (PICs)

[KEY] **PICs in offshore jurisdictions reduce transparency.**

[FOCUS] **Client refusal to disclose underlying assets or investment strategy = red flag.**

[TRAP] “PICs are legitimate investment vehicles; no additional risk” – Not true when combined with opacity.

[!] PICs + refusal to disclose + incoming wires from unrelated offshore entities + crypto = high risk.

7. Trust Due Diligence (FATF)

[KEY] **Must identify:** settlor, all trustees, protector, AND all beneficiaries (even discretionary).

[FOCUS] **Refusal to provide beneficiary names = grounds to reject account.**

[TRAP] “Trusts are private; beneficiaries do not need to be identified” – False under FATF.

[!] All trust beneficiaries must be identified, including discretionary class.

8. Special Purpose Vehicles (SPVs)

[KEY] **SPVs can disguise true UBO.**

[FOCUS] **Rapid creation and dissolution of SPVs (each 12-18 months) + no clear business purpose = red flag.**

[TRAP] “SPVs are standard for holding single assets; no ML risk” – Pattern matters.

[!] Rapid creation/dissolution + crypto + no business purpose = EDD required.

9. Sovereign Wealth Funds (SWFs)

[KEY] **SWFs are NOT automatically exempt from AML.**

[FOCUS] **EDD required for PEP board members; source of funds must be verified; Grey List status matters.**

[TRAP] “SWFs are government entities exempt from AML” – Incorrect.

[!] SWF refusing to provide source of funds + PEP board members + Grey List = high risk.

10. High Value Asset Red Flags

[KEY] **Indicators of ML:** funds from secrecy jurisdiction, cash structuring, shell company ownership, unregulated dealer, income inconsistency, rapid resale at loss.

[FOCUS] **Criminals accept loss to clean money.**

[TRAP] “HNW individuals buy luxury assets regularly; no red flags” – Look for pattern.

[!] Rapid resale at loss = money laundering (loss is laundering cost).

11. Family Office Risks

[KEY] **PEP patriarch** (once a PEP, always a PEP).

[KEY] **Multi-jurisdictional structure** (Delaware registration, Swiss management) reduces transparency.

[KEY] **Unidentified third parties** (external advisor).

[FOCUS] **Unexplained incoming wires from BVI shell company = investigate.**

[TRAP] “Patriarch left office 8 years ago, no longer PEP” – Once a PEP, always a PEP for risk.

[!] Unidentified third parties in family office = red flag.

12. Insurance Products ML Technique

[KEY] **Policy loan layering:** (1) Purchase policy with illicit funds, (2) Take policy loan (clean proceeds), (3) Surrender policy for additional clean funds.
[FOCUS] **Repeating pattern with multiple insurers = systematic laundering.**
[TRAP] "Policy loans are legitimate; no ML risk" – Pattern reveals layering.
[!] **Policy loans from policies bought with illicit funds = layering.**

13. Cryptocurrency & HNW Clients

[KEY] **Red flags:** declining business revenues but large crypto purchases; VASP with weak KYC; DeFi protocol opacity; refusal to provide wallet addresses; unexplained rapid profits.
[FOCUS] **Declining income + large crypto = potential source of funds issue.**
[TRAP] "Crypto investing is normal for HNW" – Normal, but pattern matters.
[!] **Refusal to provide transaction history from DeFi = EDD required.**

14. Art and Collectibles Laundering

[KEY] **Indicators:** freeport storage (no physical possession), rapid resale at loss, single-purpose LLCs for each transaction, different bank accounts for purchase and sale, refusal to explain strategy.
[FOCUS] **Rapid resale at loss + freeport = money laundering.**
[TRAP] "Art is a legitimate investment for HNW" – Yes, but pattern reveals laundering.
[!] **Loss accepted to clean money = laundering cost.**

15. Secured Loan Risks

[KEY] **Money laundering via secured loans:** illicit funds used as collateral (portfolio bought with dirty money), loan proceeds are clean, early repayment after selling collateral creates legitimate paper trail.
[FOCUS] **Wire to high-risk jurisdiction + business with no record = red flag.**
[TRAP] "Secured loans are low risk; collateral guarantees repayment" – Collateral itself may be dirty.
[!] **Secured loans can launder funds if collateral purchased with illicit money.**

16. Multi-Jurisdiction Tax Evasion

[KEY] **Tax evasion is a predicate offense for money laundering in most jurisdictions.**
[FOCUS] **CRS reporting mandatory regardless of client consent. Refusal to sign CRS form = red flag.**
[TRAP] "Tax evasion is not a bank's concern" – It is a predicate offense.
[!] **Unexplained cross-border movements + income inconsistency = EDD and potential SAR.**

17. Shell Company Networks

[KEY] **Strongest red flag:** massive discrepancy between declared revenue (\$5M) and transaction flow (\$500M).
[FOCUS] **Circular transactions = layering. Trust overlay adds final secrecy layer.**
[TRAP] "Shell companies are legal business structures; no risk" – Discrepancy reveals laundering.
[!] **Revenue vs transaction flow discrepancy = strongest red flag.**

18. Round Tripping

[KEY] **Round tripping with consistent loss of 2-5% = layering. Criminals accept loss to clean money.**
[FOCUS] **No legitimate business purpose + inability to explain = SAR required.**
[TRAP] "This could be legitimate treasury management" – Loss pattern indicates laundering.
[!] **Round tripping with consistent losses = money laundering (loss is fee).**

19. Foreign PEP Enhanced Due Diligence

[KEY] **FATF requires EDD for foreign PEPs regardless of time since leaving office.**
[FOCUS] **Mathematical inconsistency (e.g., \$25M deposit vs \$12.5M max possible income) requires SAR if not resolved.**
[TRAP] "PEP status expires after leaving office" – False for foreign PEPs under FATF.
[!] **Foreign PEPs always require EDD, even years after leaving office.**

20. Domestic PEP Risk Assessment

[KEY] **FATF recommends risk-based approach for domestic PEPs, not automatic EDD.**
[FOCUS] **Red flags (unexplained wealth, son's government contracts with father's involvement) require EDD regardless.**
[TRAP] "Domestic PEPs are exempt from EDD under FATF" – Not if red flags exist.
[!] **Unexplained wealth gap + conflict of interest = EDD required.**

21. International Organization PEPs (e.g., World Bank)

[KEY] **FATF recommends risk-based assessment.**
[FOCUS] **Deposit pattern inconsistency (deposits stopped during World Bank employment and resumed after) is a red flag.**
[TRAP] "International organization PEPs are exempt from EDD" – Not under risk-based approach.
[!] **Inconsistent wealth accumulation patterns require EDD.**

22. Immediate Family of PEPs

[KEY] **FATF definition includes immediate family members (spouse, children). Spouse is PEP by association.**
[FOCUS] **\$10M gift from \$150k salary is mathematically impossible → SAR required.**
[TRAP] "PEP definition applies only to the individual, not family" – False under FATF.
[!] **Immediate family of PEPs are also PEPs. Gifts from PEPs require source of funds verification.**

23. Close Associates of PEPs

[KEY] **FATF definition includes close associates (business partners, friends).**
[FOCUS] **Hidden ownership through trust, allegations of contract steering, refusal to identify owners = EDD and potential SAR.**
[TRAP] "Close associates are not PEPs; only the individual is" – False.
[!] **Close associates of PEPs are considered PEPs for AML purposes.**

24. Correspondent Banking (FATF Rec. 13)

[KEY] **EDD required for correspondent relationships.**
[FOCUS] **Red flags: respondent refuses to identify underlying clients (including PEPs), AML deficiencies, no independent audit, offshore jurisdiction. Termination or restriction required.**
[TRAP] "Correspondent banking risks can be managed with monitoring" – Not when respondent refuses UBO info.
[!] **Correspondent bank that refuses to identify underlying private banking clients should be terminated.**

25. Nested Accounts in Correspondent Banking

[KEY] **Unauthorized nesting is a major risk. Correspondent bank has no visibility into underlying clients.**
[FOCUS] **PEP from sanctioned country using nested account = SAR required. Respondent's refusal to terminate nesting = terminate correspondent relationship.**
[TRAP] "Nesting is permitted if respondent bank has adequate controls" – Unauthorized nesting is never acceptable.
[!] **Unauthorized nesting of private banking clients through correspondent accounts = terminate relationship.**

26. Exiting High-Risk Clients

[KEY] Banks can and should exit high-risk clients even with outstanding loans or letters of credit.
[FOCUS] Exit must be managed to avoid breach of contract. Revenue cannot be reason to retain high-risk client. SAR must be filed.
[TRAP] “Banks cannot exit clients with outstanding credit facilities” – They can, carefully.
[!] Revenue and outstanding loans are not valid reasons to retain a high-risk client.

27. Culture of Compliance

[KEY] Weak culture indicators: senior management overrides compliance recommendations for revenue; Board never reviews AML metrics; compensation 100% revenue-based with no risk adjustment.
[FOCUS] Senior management overriding compliance = critical failure.
[TRAP] “Senior management can override compliance for commercial reasons” – No, that is a failure.
[!] Senior management overriding compliance = culture of compliance failure.

28. Estate Planning Trust Abuses

[KEY] Red flags: settlor rapidly resigns as trustee, distributions to son personally (not in trustee capacity), son has no independent source of wealth, son moves to non-extradition country.
[FOCUS] Trust distributions to individual not in trustee capacity = potential fraud or asset movement.
[TRAP] “Trust distributions to beneficiaries are normal” – Not when done in personal capacity.
[!] SAR required for suspected asset dissipation or fraud.

29. Succession Planning Red Flags

[KEY] Migration to increasingly secretive jurisdictions (Cook Islands → Marshall Islands).
[KEY] Self-dealing (beneficiary becomes trustee of new trust).
[KEY] Relocation to non-disclosure country.
[KEY] Foundation funds diverted to secrecy jurisdiction with no charitable activity.
[FOCUS] Charitable funds diverted to secrecy jurisdiction = loss of charitable purpose + potential ML.
[TRAP] “Succession planning is private; no bank oversight” – Red flags trigger bank obligations.
[!] Foundation funds moved to Seychelles with no charitable activity = SAR.

30. Offshore Trust Highest Risk Features

[KEY] Anonymous beneficiaries (no CDD possible).
[KEY] Flee clause – allows rapid asset movement to avoid freezing.
[KEY] Letter of wishes – secret instructions not subject to review.
[KEY] Pattern of trust creation/dissolution (each 18-24 months – moving assets to avoid detection).
[KEY] Art in freeport (opaque valuation and ownership).
[KEY] Crypto with unregulated VASP.
[FOCUS] High-risk structure requiring EDD and likely SAR.
[TRAP] “Offshore trusts are standard for HNW international families” – Features above make them high risk.
[!] Flee clauses + anonymous beneficiaries + rapid trust dissolution = highest risk.

[CORRECT] End of Tutorial – Focus on red flags, traps, and FATF standards.